

# 17-803 Empirical Methods

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# Fixed vs Random Effects

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- ▶ This article has three distinctive contributions.
  - ▶ First, it is a central attack on the dominant method (FE) in much of the quantitative social sciences.
  - ▶ Second, it advocates an alternative approach to endogeneity, in which its causes (separate 'within' and 'between' effects) are modeled explicitly.
  - ▶ Third, it emphasizes the importance of modeling heterogeneity (not just overall mean effects) using random coefficients and cross-level interactions.
- ▶ There are few, if any, occasions in which FE modeling is preferable to RE modeling. If the assumptions made by RE models are correct, RE would be the preferred choice because of its greater flexibility and generalizability, and its ability to model context, including variables that are only measured at the higher level.
- ▶ A well-specified RE model can be used to achieve everything that FE models achieve, and much more besides.